

Lessons on Foreign Aid and Economic Development

“This edited volume brings together 12 different chapters that each address important aspects of the political economy of foreign aid. The contributions are wide-ranging, covering everything from the impact of aid on political institutions and health outcomes to recipient-donor relationships and the political motives of aid allocation. These chapters deepen our understanding of how to evaluate and assess various aid practices, and as such are an impressive contribution to the field.”

—Emily Skarbek, Political Theory Project, *Brown University*

“Providing foreign aid to developing countries influences international relations. For example, many industrialized countries have experienced increasing immigration since the early 2000s. Does foreign aid help to promote economic development in recipient countries which, in turn, will give rise to less migration from developing countries? Donor countries pursue strategic objectives when providing foreign aid. Do these objectives relate to changes in government ideology such as from Barack Obama to Donald Trump? This book deals with political-economic determinants and consequences of foreign aid. Experts portray the extent to which aid helps to fulfill its intended purposes. Clearly, political-economic determinants and consequences of foreign aid have been examined for a long time. During changing international relations, this book is published at the right time.”

—Niklas Potrafke, Professor of Economics, *University of Munich, Ifo Institute*

“Development policy has become a tensely discussed, politically contested and often misunderstood policy area; in particular the debate around development aid is confusing. This book provides a timely, concise and comprehensive analysis of this urgent issue. It asks important questions and helps to understand successes and failures of development aid.”

—Andreas Freytag, Professor of Economics, *Friedrich Schiller Universität Jena*

Nabamita Dutta • Claudia R. Williamson
Editors

Lessons on Foreign Aid and Economic Development

Micro and Macro Perspectives

palgrave
macmillan

Editors

Nabamita Dutta
University of Wisconsin-La Crosse
La Crosse, WI, USA

Claudia R. Williamson
Mississippi State University
Mississippi, MS, USA

ISBN 978-3-030-22120-1 ISBN 978-3-030-22121-8 (eBook)
<https://doi.org/10.1007/978-3-030-22121-8>

© The Editor(s) (if applicable) and The Author(s) 2019

This work is subject to copyright. All rights are solely and exclusively licensed by the Publisher, whether the whole or part of the material is concerned, specifically the rights of translation, reprinting, reuse of illustrations, recitation, broadcasting, reproduction on microfilms or in any other physical way, and transmission or information storage and retrieval, electronic adaptation, computer software, or by similar or dissimilar methodology now known or hereafter developed.

The use of general descriptive names, registered names, trademarks, service marks, etc. in this publication does not imply, even in the absence of a specific statement, that such names are exempt from the relevant protective laws and regulations and therefore free for general use. The publisher, the authors and the editors are safe to assume that the advice and information in this book are believed to be true and accurate at the date of publication. Neither the publisher nor the authors or the editors give a warranty, express or implied, with respect to the material contained herein or for any errors or omissions that may have been made. The publisher remains neutral with regard to jurisdictional claims in published maps and institutional affiliations.

This Palgrave Macmillan imprint is published by the registered company Springer Nature Switzerland AG

The registered company address is: Gewerbestrasse 11, 6330 Cham, Switzerland

PREFACE

A distinguishing feature of this book is that it deepens the reader's understanding of the impact of foreign aid on development outcomes based on the latest findings in the literature over the past decade. A strong viewpoint that has been existing in the economics literature, especially with regard to economic development, polarizes the perception of foreign aid as being either beneficial or damaging, as a blessing or a curse. As an unfortunate consequence, many readers perceive aid's impact based on the work of scholars who are assessing the impact of aid in light of such polarities.

This book sheds light on the recent studies that have tried to deepen our understanding of the ambiguous relationship between aid and its aftereffects. It highlights the work of scholars who have developed more layered and nuanced findings with regard to aid's impact on a variety of development outcomes, for example, donor characteristics, political motives behind aid giving, evaluation of aid projects, and their effectiveness including the differential impact based on type of aid.

La Crosse, WI, USA
Mississippi, MS, USA

Nabamita Dutta
Claudia R. Williamson

CONTENTS

1	Introduction	1
	Nabamita Dutta and Claudia R. Williamson	
Section I	Foreign Aid and Macro and Micro Development Outcomes	11
2	Foreign Aid Conditionality and Economic Growth	13
	Shaomeng Jia	
3	Types of Foreign Aid	33
	Christian Bjørnskov	
4	An Effectiveness, Efficiency, and Equity Approach to Examining Subnational Health Aid	63
	Carrie B. Dolan	
Section II	The Political Economy of Donor Behavior	83
5	Evaluating Aid Agencies: Challenges, Comparisons, and Causes of Best Aid Practices	85
	Liya Palagashvili	

6	What Influences World Bank Project Evaluations?	109
	Christopher Kilby and Katharina Michaelowa	
7	Aid Allocation and Outcomes: What Role Do Political Motives Play?	151
	Nabamita Dutta and Claudia R. Williamson	
Section III Foreign Aid's Effect on Institutional Quality		167
8	Foreign Aid and Recipient State Capacity	169
	Andrew T. Young and Estefania Lujan Padilla	
9	Foreign Aid and Repression	187
	Faisal Z. Ahmed	
10	Can Foreign Aid Promote Political and Economic Freedom?	207
	Nabamita Dutta, Michael A. Fakutiju, and Claudia R. Williamson	
Section IV The Political Economy of Privately Provided Aid		223
11	Potential Pitfalls in Private Aid: A Cautionary Note for Non-Governmental Assistance	225
	Thomas K. Duncan	
12	Remittances and FDI As Privately Provided International Aid	245
	Olga Nicoara and Scott A. Burns	
13	The Role of Entrepreneurs in Facilitating Remittances in Cuba	275
	Stefanie Haeffele and Anne Lynn Hobson	
	Index	295

NOTES ON CONTRIBUTORS

Faisal Z. Ahmed is an assistant professor at Princeton University. His research and teaching interests focus on political economy and international economics. Some of his work has been published in the *American Political Science Review*, *American Economic Journal – Macroeconomics*, *Review of Economics and Statistics*, and the *Journal of Law, Economics, and Organization*. Prior to joining the faculty at Princeton, Faisal was a Prize Research Fellow at Nuffield College, Oxford University. He spent the 2016–2017 academic year as the William C. Bark National Fellow at the Hoover Institute. Before transitioning to academia, he spent a few years as an international and macroeconomist at the White House Council of Economic Advisers and the Federal Reserve Bank of Chicago.

Christian Bjørnskov is Professor of Economics at Aarhus University in Denmark, and also affiliated researcher at the Research Institute of Industrial Economics in Stockholm, Sweden. As a guest professor, he has also taught Development Economics at the University of Göttingen and the University of Heidelberg. Bjørnskov's research on development economics, political economy and foreign aid has appeared in numerous journals including the *American Journal of Political Science*, the *Journal of Development Economics* and the *Journal of Comparative Economics*. He is a regular columnist at the Danish financial newspaper *Børsen* and editor of the prize-winning economics blog punditokraterne.dk.

Scott A. Burns is Assistant Professor of Economics at Ursinus College, where he is co-director of the Economics Ambassadors program. His research focuses on the intersection of monetary and development eco-

nomics as well as Austrian economics, public choice economics, and entrepreneurship. He received his BS in Economics from Louisiana State University in 2011 and his MA and PhD in Economics from George Mason University in 2016.

Carrie B. Dolan is an assistant professor in the Department of Kinesiology and Health Sciences. Her research examines the allocation of health aid within the context of effectiveness, efficiency, and equity. Through combining household panels with geographically referenced data, Dolan's research determines the contribution of health aid on key health outcomes. She earned an MPH in Epidemiology from Tulane University and a PhD in Healthcare Policy and Research from the Virginia Commonwealth University School of Medicine.

Thomas K. Duncan is Assistant Professor of Economics in the Davis College of Business and Economics at Radford University. His articles have appeared in journals such as the *Independent Review*, the *Review of Austrian Economics*, the *Journal of Private Enterprise and Peace Economics*, *Peace Science and Public Policy*, and he has been a contributor to the *Oxford Handbook of Austrian Economics*. Duncan received his PhD from George Mason University in 2013. He received his MA in Economics from San Jose State University in 2008 and a BA in Economics from Hampden-Sydney College in 2005.

Nabamita Dutta is Associate Professor of Economics at University of Wisconsin-La Crosse, USA. Her articles have appeared in the *European Journal of Political Economy*, *Kyklos*, *Industrial Relations: A Journal of Economy and Society*, *Journal of Institutional Economics*, *Small Business Economics*, *International Review of Economics and Finance*, and *Economic Modelling and the Review of International Economics*. She has been a visiting research scholar at various institutions in India, Australia, and Germany. Her research has also been covered by the media, in particular by the BBC, *New York Magazine*, and Ideas for India.

Michael A. Fakutiju is a second year PhD candidate in Economics at Mississippi State University. In 2015, he received his MA in Economics at New Mexico State University. His research interests include applied micro-economics, development economics, and public economics. His work has appeared in the *Journal of Economics and Sustainable Development* and *Environmental Management and Sustainable Development*.

Stefanie Haeffele is a senior research fellow, the Deputy Director of Academic and Student Programs, and a senior fellow with the F. A. Hayek Program for Advanced Study in Philosophy, Politics, and Economics at the Mercatus Center at George Mason University. She is the co-author of *Community Revival in the Wake of Disaster: Lessons in Local Entrepreneurship* (Palgrave Macmillan) with Virgil Henry Storr and Laura E. Grube, and the editor of *Knowledge and Incentives in Policy: Using Public Choice and Market Process Theory to Analyze Public Policy Issues*. She previously worked for the Federal Emergency Management Agency and the US Forest Service.

Anne Lynn Hobson is a program manager for Academic and Student Programs at the Mercatus Center at George Mason University as well as a PhD student in economics at George Mason University. She previously worked with Facebook and the R Street Institute. Her writing, focusing on technology policy and resiliency, has appeared in the *Wall Street Journal*, *Reason*, *The Hill*, and other publications.

Shaomeng Jia is Visiting Assistant Professor of Economics at Muskingum University. He received his PhD in Economics from Mississippi State University in 2018. His research focuses on international development, including examining growth policies, entrepreneurship, regulation and foreign aid, in particular. Jia's work has appeared in *Contemporary Economic Policy* and the *Journal of Entrepreneurship and Public Policy*. It is his hope that his research can help people in developing countries, especially those 1.3 billion living in extreme poverty.

Christopher Kilby is a professor in the Economics Department at the Villanova School of Business at Villanova University. His focus within economics is on the political economy of foreign aid, a topic at the intersection of economics and political science. He does empirical research on this topic as well. His work includes statistical analysis that examines the influence of the US and other major donors on the behavior of international financial institutions such as the World Bank and the Asian Development Bank, the domestic politics of US bilateral aid, and the impact of aid on developing countries. Kilby serves on the program committee of an annual international conference called The Political Economy of International Organizations and on the editorial board of the journal *The Review of International Organizations* (edited by Axel Dreher). He is the book review editor.

Katharina Michaelowa studied Economics at the Universities of Mannheim and Delhi (Delhi School of Economics, India). In 1998, she received her PhD in Economics at Hamburg University/Hamburg Institute of International Economics. From 1997–2000, she was an administrator at the OECD, Paris (development research, co-ordination of donor policies, education policy and educational indicators); from 2000–2006, she was a researcher at the Hamburg Institute of International Economics. Since December 2001, she has served as head of the research group “Trade and Development”. Since September 2006, she has been a professor at the Institute for Political Science (IPZ), University of Zurich, and from January 2009 to December 2011, she has been the Director of the Center for International and Comparative Studies (CIS). Since July 2011, Michaelowa has served as chair of the Research Committee on Development Economics of the German Economic Association, and since January 2013, she has been a member of the National Research Council of the Swiss National Science Foundation.

Olga Nicoara is Assistant Professor of Economics at Ursinus College. She specializes in political economy, economies in transition, economic development, entrepreneurship, and social research. She earned her doctorate in Economics from George Mason University after graduating from the Academy of Economic Studies in Bucharest, Romania.

Estefania Lujan Padilla earned her BA in Economics with a minor in Finance from the Universidad Francisco Marroquín (UFM, Guatemala) in Spring 2016. Prior to joining Texas Tech University, she taught Managerial Economics at the School of Economic Sciences at UFM. Padilla provided research assistance at the think tank UFM Market Trends and some projects focused on issues in Guatemala (such as, sugar price models and public investment on biodiversity).

Liya Palagashvili is an assistant professor of economics at State University of New York, Purchase, and a Research Fellow at New York University School of Law. Palagashvili’s academic papers on topics of economic development, institutions, and foreign aid, as well as on comparative governance, transition economies, and entrepreneurship have appeared in journals such as *Public Choice*, *Supreme Court Economic Review*, *History of Political Economy*, *Journal of Institutional Economics*, *University of Chicago Legal Forum*, *Journal of Law, Economics, and Policy*, among others. In addition to academic writing, Palagashvili’s articles have

appeared in media outlets such as *the Wall Street Journal*, *Forbes*, *U.S. News and World Report*, *Yahoo Finance*, *Newsday*, *Philadelphia Inquirer*, among many others. Palagashvili was recently named one of Forbes 2016'30 under 30' in Law & Policy and has access to promote her work on Forbes.

Claudia R. Williamson is Associate Professor of Economics and the Drew Allen Endowed Fellow at Mississippi State University, USA. Her research focuses on applied microeconomics, the role of culture in development, and the political economy of development policies, such as foreign aid. She currently serves as an editor for the *Journal of Institutional Economics*. Claudia's work has appeared in the *Journal of Law and Economics*, *World Development*, *Journal of Comparative Economics*, *Public Choice*, *Journal of Corporate Finance*, and *Journal of Institutional Economics*. Her research has also appeared in the *Economist* and the BBC.

Andrew T. Young was born and raised in New England. He graduated from the College of the Holy Cross with a BA in Economics and then received his PhD in Economics from Emory University. He has since worked at the University of Mississippi, West Virginia University, and, now, Texas Tech University. He is an author on over 50 peer-reviewed articles in economics journals. His research has been recently focused on historical political economy and, in particular, constitutional economics in Europe of late antiquity and the medieval era.

LIST OF FIGURES

Fig. 2.1	Quantile plot of policy, BD specification, 1970–1993 full sample. (Source: Author’s calculation based on data collected from World Bank (1978), Sachs and Warner (1995), Wacziarg and Welch (2008), and Clemens et al. (2012))	20
Fig. 2.2	Quantile plot of policy, BD specification, 1990–2013 full sample. (Source: Author’s calculation based on data collected from World Bank (1978), Sachs and Warner (1995), Wacziarg and Welch (2008), and Clemens et al. (2012))	22
Fig. 3.1	Shares of aid in types, 1975–2005. (Source: PLAID (Project Level Aid) database reported by AidData)	45
Fig. 3.2	Concentration of aid: raw data and types. (Source: PLAID (Project Level Aid) database reported by AidData)	46
Fig. 6.1	World Bank organizational chart (IBRD, IDA, IFC). (Source: IEG database, World Bank)	111
Fig. 6.2	Project timeline. (Adapted from Geli et al. (2014) (not to Scale)	112
Fig. 6.3	First evaluation type by evaluation fiscal year. (Source: IEG database, World Bank)	113
Fig. 6.4	Cumulative hazard rate functions for selected variables. Notes: Nelson-Aalen estimates. (Source: IEG database, World Bank)	117
Fig. 6.5	Time between ICR and PPAR. (Source: IEG database, World Bank)	121
Fig. 6.6	Time since ICR for projects without a PPAR (as of September 30, 2013). (Source: IEG database, World Bank)	121
Fig. 6.7	<i>PPAR lag</i> by outcome rating change. (Source: IEG database, World Bank)	130

Fig. 6.8	Rating change and nonpermanent UNSC membership by evaluation fiscal year. (Source: IEG database, World Bank)	134
Fig. 6.9	Rating change and World Bank Executive Board membership by evaluation fiscal year. (Source: IEG database, World Bank)	135
Fig. 8.1	Share of direct taxes in GDP versus (log of) real GDP per capita. Notes: Based on 89 aid recipient countries; direct taxes are those on income, profits, and capital gains. (Source: World Development Indicators)	171
Fig. 9.1	US bilateral economic aid, 1960–2009. (Source: OECD DAC)	190
Fig. 9.2	Fragmentation in the US House of Representatives and average US bilateral aid disbursements. (Source: OECD DAC and United States Congress)	193
Fig. 9.3	Annual probability of receiving US aid (P_i) and average US bilateral economic aid (2000 US\$). (Source: OECD DAC)	194
Fig. 12.1	Personal remittances received, per capita, by region, in 2011 PPP US dollars. (Source: World Bank, World Development Indicators)	253
Fig. 12.2	Personal remittances received, per capita, by income level, in 2011 PPP US dollars. (Date Source: World Bank, World Development Indicators)	254
Fig. 12.3	Personal remittances received, % of GDP, by income level, 1990–2020. (Date Source: World Bank, World Development Indicators)	255

LIST OF TABLES

Table 2.1	Recipient countries with bottom five percent and top five percent policy scores	21
Table 3.1	Aid in purpose codes	36
Table 3.2	Principle components analysis: types of aid	41
Table 3.3	Separating types of aid, factor weight	42
Table 3.4	Growth effects, total aid versus typologies, GMM	48
Table 3.5	Conditional aid effects, GMM	51
Table 3.6	Descriptive statistics	55
Table 5.1	Summary of aid agency rankings & findings	94
Table 5.2	Performance of bilateral and multilateral across components	97
Table 6.1	IEG evaluation ratings	114
Table 6.2	Descriptive statistics for hazard rate estimation	119
Table 6.3	Baseline hazard rate for PPAR	124
Table 6.4	Hazard ratios for PPAR: political economy variables	128
Table 6.5	Role of rating changes: PPAR hazard ratios for projects with completed PPARs	131
Table 6.6	PPAR ratings and nonpermanent UNSC membership	136
Table 6.7	Interaction of UNSC membership and World Bank debt	138
Table 6.8	Data sources	142
Table 6.9	Acronym list	143
Table 8.1	Summary of variables included in regression analyses	176
Table 8.2	Correlation matrix for state capacity measures	177
Table 8.3	Regressions of state capacity growth on foreign aid and initial state capacity	177
Table 8.4	Regressions of state capacity growth on foreign aid, initial state capacity, and controls for income, institutions, and human capital	178

Table 8.5	Regressions of state capacity growth on foreign aid, initial state capacity, and controls for terms of trade shocks and oil rents	179
Table 9.1	The legislative determinants of US bilateral aid (first stage regression)	195
Table 9.2	US aid harms political rights (second stage regression)	200
Table 9.3	US aid lowers tax effort	202
Table 12.1	Remittances received in Africa, 2000 and 2017 (all absolute figures are in constant 2015 US dollar)	251
Table 12.2	Remittances received in former socialist economies, 2000 and 2017 (all absolute figures are in constant 2015 US dollars)	252
Table 12.3	Total amount of Net Official Development Assistance (ODA) and Official Aid (OA) received, personal remittances received, and net FDI received	256
Table 12.4	Total amount of personal remittances received and net FDI received in former socialist economies	261